

the watershed is necessary to effect Plaintiffs' requested relief. The Court declines to grant the motion on this ground.

For the foregoing reasons, the motion is **DENIED**.

Evidentiary Objections

The Court rules only on those objections material to the Court's ruling on the motion for summary judgment. (Code Civ. Proc. § 437c(q).)

Plaintiffs' Objections to Evidence:

Objection No. 1: Sustained.

3. 9:00 AM CASE NUMBER: C24-02590
CASE NAME: NEXTGEAR CAPITAL, INC. VS. FARHAD AMINZADA
HEARING ON SUMMARY MOTION
FILED BY: NEXTGEAR CAPITAL, INC.
TENTATIVE RULING:

Before the Court is Defendant NextGear Capital, Inc., a Delaware Corporation ("NextGear" or "Defendant")'s Motion for Summary Judgment or in the alternative Summary Adjudication. The Motion relates to Plaintiff Area Target Used Cars, LLC ("Plaintiff" or "Area Target")'s First Amended Complaint for (1) Breach of Written Purchase Contracts; (2) Breach of Fiduciary Duty; (3) Claim and Delivery / Replevin; (4) Declaratory Relief; and (5) Injunctive Relief. Only the third, fourth, and fifth causes of action are alleged against Defendant. Plaintiff has not opposed the Motion.

For the following reasons, Defendant's unopposed motion for summary judgment is **GRANTED**.

Standard

The party moving for summary judgment has the burden of persuasion to show there is no triable issue of material fact and thus it is entitled to judgment as a matter of law. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

Only if the moving party successfully meets this burden does the burden shift to the opposing party to make its own prima facie showing of the existence of a triable issue of material fact. (*Ibid.*; see also *Chern v. Bank of America* (1976) 15 Cal.3d 866, 873.) Even though the instant motion is unopposed, the Court cannot grant summary judgment unless Defendant meets the initial burden. (See *Johnson v. Superior Court* (2006) 143 Cal.App.4th 297, 305 [trial court order granting summary judgment reversed despite lack of timely-filed declaration that was proper under CCP § 2015.5 because unless defendant meets his initial burden, summary judgment cannot be granted "even if the opposing party does not respond sufficiently or at all."].) The scope of the initial burden is defined by the pleadings. (See *580 Folsom Assocs. v. Prometheus Dev. Co.* (1990) 223 Cal. App. 3d 1, 18.)

Brief Factual and Procedural Background

Next Gear as Plaintiff in C24-02590 filed its initial complaint on September 30, 2024 followed by an amended complaint on October 3, 2024. The First Amended Complaint in C24-02590 alleges causes of action against Defendant US City Auto, Inc. dba Bay Motors and Defendant Farhad Aminzada for (1) Breach of Demand Promissory Note and Security Agreement, (2) Breach of Individual Guaranty

Agreement, (3) Claim and Delivery as Against All Defendants, (4) Conversion as Against All Defendants, and (5) Common Count as Against All Defendants. The claims arise out of a commercial line of credit ("flooring line") to Defendant automobile dealership. (See, e.g., C24-02590 FAC at ¶ 7.) NextGear alleges that Defendants defaulted on the Demand Promissory Note and Loan Security Agreement.

Plaintiff Area Target filed its initial complaint in C24-03143 against Defendant NextGear Capital alleging causes of action for (1) breach of written purchase contracts, (2) breach of fiduciary duty, (3) conversion, (4) conversion, (5) claim and delivery / replevin, (6) declaratory relief, and (7) injunctive relief. Area Target later filed an amended complaint on March 14, 2025 that omitted the conversion claims.

NextGear as Plaintiff in C24-02590 moved *ex parte* on October 3, 2024 for writ of possession of 33 vehicles which was granted by the Court the same day. On October 31, 2024 Defendants in C24-02590 moved *ex parte* to Quash the Writ of Possession. Subsequently, the Court issued an order that NextGear post an undertaking in the amount of \$1.5 million dollars and that the Motion to Quash be heard as a noticed Motion on December 9, 2024. The hearing date was later continued to December 16, 2024. After the hearing, on February 7, 2025, the Court denied the motion to quash.

On November 7, 2025, the two actions were ordered consolidated with NextGear's complaint deemed the lead case. NextGear's hearing on its motion for summary adjudication against Bay Motors and Mr. Aminzada in C24-02590 was heard on February 23, 2026. The court granted NextGear summary adjudication as to the first cause of action for breach of Demand of Promissory Note and Security Agreement, the second cause of action for breach of Individual Guaranty Agreement, and the third cause of action for Claim and Delivery.

Analysis

(3) Claim and Delivery as Against All Defendants

A cause of action for claim and delivery requires the following elements: (1) wrongful exercise of dominion by defendant; (2) over the property as to which plaintiff is owner or entitled to possession; (3) demand for return of property; (4) description of property; and (5) request for recovery of property, or damages. (*Law v. Heiniger* (1955) 132 Cal. App. 2d Supp. 898, 899.) "Claim and delivery is a remedy by which a party with a superior right to a specific item of personal property created, most commonly, by a contractual lien) may recover possession of that specific property before judgment." (*Wajfer Internal. Corp. v. Khorsandi* (1999) 69 Cal.App.4th 1261, 1271.) "[A]n action in claim and delivery is a possessory action, and that one entitled to possession is entitled to maintain the action even though he is not vested with the legal title." (*Feigin v. Kutchor* (1951) 105 Cal.App.2d 744, 747.)

The First Amended Complaint alleges that Area Target "was and is the true and legal owner of the Purchased Vehicles" and is "legally entitled to the exclusive possession thereof pursuant to Civil Code § 3379." (FAC at ¶¶ 44, 46.)

However, Defendant has adduced evidence that they held a superior security interest in the vehicles in Bay Motors inventory, which included the Purchased Vehicles.

Under section 9203 of the California Uniform Commercial Code, a security interest is created when three elements are present: (1) the debtor has authenticated (or signed) a security agreement describing the collateral, (2) value has been given, and (3) the debtor has rights in the collateral. (*New West Fruit Corp. v. Coastal Berry Corp.* (1991) 1 Cal.App.4th 92, 97 (*New West*); *Louis & Diederich, Inc. v. Cambridge European Imports, Inc.*, supra, 189 Cal.App.3d at p. 1586; UCC § 9203, subd. (b)(1), (2), (3)(A).) As the Court previously concluded in connection with the motion to quash in C24-02590,

NextGear had security interests in the vehicles in Bay Motors' inventory. In reaching this conclusion, the Court noted that Bay Motors executed and delivered to NextGear a written Demand Promissory Note and Security Agreement for the flooring of Bay Motors' inventory. (Smith Decl. iso Plaintiff's Ex Parte Application for Writ of Possession at ¶ 7, Ex. 1.) Under the Note, "Collateral" included but was not limited to "all of [Bay Motor]'s assets and properties, wherever located, including, without limitation, all equipment of any kind or nature; all vehicles and vehicle parts; all Inventory now owned or hereafter acquired, including, without limitation, all Lender Financed Inventory now owned or hereafter acquired[.]" (*Id.* at Ex. 1 at 1 of 12, ¶ 2(a).) Defendant in C24-02590 conceded that "[t]he defendants did enter into a contract with the plaintiff in which the defendant car dealership borrowed money from the plaintiff that was used to purchase vehicles that were sold in the regular course of the defendant dealership." (Aminzada Decl. at ¶ 3.) Finally, to perfect its security interest in the Collateral, NextGear filed UCC-1 Financing Statements in California pursuant to the Uniform Commercial Code. (Smith Decl. iso Plaintiff's Ex Parte Application for Writ of Possession at ¶ 8; Exhibit 2.) In that same order on the motion to quash in C24-02590, the Court concluded that Plaintiff Area Target was not a buyer in the ordinary course of business, such that they took the Purchased Vehicles free of a security interest.

Defendant has met its initial burden with respect to Plaintiff's claim and delivery cause of action. And, as Plaintiff has failed to file any opposition to the Motion, the Court finds that it has failed to meet its responsive evidentiary burden. Accordingly, the unopposed motion is granted as to the third cause of action.

(4) Declaratory Relief and (5) Injunctive Relief

Plaintiff's declaratory relief and injunctive relief causes of action are also premised on their allegation that they hold title to the Purchased Vehicles free and clear of any security interests. However, as discussed above, Defendant NextGear holds a security interest in the Purchased Vehicles, and Plaintiff Area Target was not a buyer in the ordinary course of business. Defendant has met its initial burden with respect to Plaintiff's declaratory relief and injunctive relief causes of action. And, as Plaintiff has failed to file any opposition to the Motion, the Court finds that it has failed to meet its responsive evidentiary burden. Accordingly, the unopposed motion is granted as to the third cause of action.

4. 9:00 AM CASE NUMBER: C25-00707
CASE NAME: JOHN MIXON VS. BYRON UNION SCHOOL DISTRICT
HEARING ON DEMURRER TO: RE 1ST AMENDED COMPLAINT
FILED BY: BYRON UNION SCHOOL DISTRICT
TENTATIVE RULING:

Defendant Byron Union School District ("Defendant") brings this demurrer to the First Amended Complaint ("FAC") of plaintiff John Mixon ("John Sr."), individually and as Guardian Ad Litem for John Mixon ("John Jr."), Ja'leyah Mixon ("Ja'leyah"), and Ja'niyah Mixon ("Ja'niyah" together with John Jr., John Sr., and Ja'leyah, "Plaintiff").

For the reasons discussed below, the Court **OVERRULES** Defendant's demurrer to Plaintiff's First Amended Complaint based on nonjoinder and **SUSTAINS** Defendant's demurrer to Plaintiff's second cause of action for intentional infliction of emotional distress, fourth cause of action for retaliation in violation of Labor Code section 1102.5, and fifth cause of action for retaliation in violation of